

Onboarding a preparer

What to collect before somebody files a return under your PTIN, where each document actually lives, and why the website deliberately holds none of them.

For Lashanda Carter • October 2026

THE SHORT VERSION

Four things have to be true before a preparer touches a client return. The **Onboarding** tab on the Academy site records whether each one is true and on what day you confirmed it.

It records the *fact*. It does not hold the *document*. There is no upload button on that page and there is not going to be one — that is the single design decision this whole note exists to explain.

The four checks

CHECK	WHAT YOU ACTUALLY DO	WHERE THE PAPER LIVES
PTIN verified	Type their PTIN into the site, then look the number up in the IRS directory of credentialed preparers and confirm the name matches.	Nowhere. A PTIN is a public credential number, not a secret.
W-9 received	Send a W-9 request from your filing service. They fill it in and sign it there. You tick the box here once it lands.	With that service. Their Social Security or EIN number goes to it and stays there.
Photo ID sighted	Look at a government photo ID on the video call and check it matches the name on the W-9. Tick the box.	Nowhere. You keep no copy.
Security plan signed	They read your written information security plan and sign the one-page acknowledgement. Tick the box.	Your own files — the signed page, with your other staff paperwork.

A TICK IS A STATEMENT YOU ARE MAKING

Each box says what it means underneath it on the page. “Photo ID sighted” means you personally looked at an ID and it matched. It does not mean somebody told you they have one.

The site records who ticked it, so the record is yours. Tick it when it is true and not before — a checklist of things nobody checked is worse than no checklist, because it is the one you will rely on.

Why there is no upload button

Collecting a Social Security number through a website is a regulated act, and two rules land on it at once.

Michigan’s Social Security Number Privacy Act

If an SSN can be reached through an online system, Michigan requires a written privacy policy, secure transmission, and **multi-factor authentication** — two independent factors, not one.

Damages run to \$1,000 per violation plus attorney’s fees, and an affected person can sue directly.

Academy sign-in is a one-time code emailed to an address already on the roster. That is good authentication, and it is *one* factor. It would not satisfy the statute for an SSN, and bolting a second factor onto a training site for five people would be a month of work protecting a thing that does not need to be there.

The FTC Safeguards Rule

The IRS treats a tax practice as a financial institution, which brings the Safeguards Rule: encryption in transit and at rest, access controls, a named person responsible, oversight of every vendor who touches the data, secure disposal, and notice to the FTC within 30 days of a breach affecting 500 or more people.

None of that is unreasonable. All of it is a standing obligation that begins the moment you hold the data and does not end until you have securely destroyed it.

SO THE SENSITIVE ITEMS GO WHERE THAT BURDEN IS ALREADY CARRIED

A filing service holding a W-9 has encryption, audit logs, access controls and insurance for exactly this, because it is their whole business. Your training site has none of those things, and should not need them.

The result is worth saying plainly: **if the Academy site were breached tomorrow, there would be no reportable event.** Names, email addresses, quiz scores and some PTIN numbers — nothing that triggers a notification, a damages claim, or a letter to the FTC. That is not luck. It is the only reason this page could be built in a day.

And the driver's licence

You asked about collecting one. I would not.

Form I-9 identity verification — the process that makes an employer keep a record of the document they examined — applies to **employees**. A preparer you pay on a 1099 is a contractor, so there is no I-9 and no duty to retain a copy of anything. A stored licence image is therefore the highest-risk item on the whole list carrying the weakest reason for being there: a full name, date of birth, address, licence number and photograph, held for no requirement.

Look at it on the call, satisfy yourself it is them, tick the box. You have done the verification. You simply have not created a second copy of their identity documents for somebody else to steal.

Where the W-9 actually goes

You need a W-9 from every preparer you pay as a contractor, because you will issue them a 1099-NEC in January. Three sane options, in the order I would try them:

OPTION	HOW IT WORKS	WORTH KNOWING
Your tax software's client portal	If the software you already pay for has a secure document portal, use that. One fewer account, one fewer vendor to oversee.	Check it is the portal and not an email attachment feature. Emailed attachments are the thing you are trying to avoid.
TaxBandits W-9 Manager	You enter a name and email. It sends them a link, they complete and e-sign the W-9, and the finished form sits in your account ready for the 1099-NEC in January.	Sending W-9 requests was free at the time of writing. Confirm current pricing when you sign up.
Track1099	Same shape: request, they fill it in, you file the 1099 from the same place at year end.	Priced per form filed. Fine for a handful of preparers.

THREE THINGS TO NEVER DO, HOWEVER CONVENIENT THEY LOOK

Do not accept a W-9 as an email attachment. The moment it is in your inbox, that SSN is in your systems, on your phone, in your backups, and inside the Safeguards Rule.

Do not accept a photo of a Social Security card by text or WhatsApp. Same problem, worse. And you do not need the card — you need the number on a signed W-9.

Do not write an SSN into the note field on the Onboarding page. The placeholder text says so. It is a free-text box and it will take whatever you type; the whole design assumes nobody does.

IF SOMEBODY EMAILS YOU ONE ANYWAY

They will. Reply, ask them to use the link instead, and delete the message from both the inbox and the trash. Then say so to whoever keeps your security plan — which is you — because an SSN that passed through your mailbox is a thing that happened, and a plan that has no record of it is not describing your practice.

The security plan they are signing

One of the four checks is “security plan signed”, which assumes a plan exists to sign. If you do not have a written information security plan yet, this is the thing on the list to do first — it is a requirement in its own right, not paperwork invented for onboarding.

The IRS publishes a free template built for exactly a practice your size: **Publication 5708, “Creating a Written Information Security Plan for Your Tax & Accounting Practice”**. It walks you through it section by section. An afternoon with it is enough to have a real plan rather than a downloaded one.

WHAT THE ACKNOWLEDGEMENT IS FOR

Having a plan is one obligation. Being able to show that everyone who touches client data has read it is a different one, and it is the part practices forget.

So: one page, their name, the date, their signature, saying they have read it and will follow it. That page goes in your files. The tick on the website is the index telling you the page exists and when it was signed.

Start to finish, for one preparer

- 1 Add them on the Onboarding tab**
— first name, last name, email. If they are already on the Academy roster they are one click under “Already on the Academy roster”.

- 2 Get the W-9 moving**
— send the request from your filing service before anything else, because it is the step that waits on somebody else.

- 3 Ask for their PTIN**
— by email is fine, it is not sensitive. Type it into the site.

- 4 Look the PTIN up**
— IRS directory of credentialed preparers, irs.treasury.gov/rpo/rpo.jsf. Name matches, tick *PTIN verified*. No match, stop and ask them about it.

- 5 Video call: see the ID**
— government photo ID, matches the name on the W-9. Tick *Photo ID sighted*. Keep no copy.

- 6 Send the security plan**
— the plan to read, the acknowledgement to sign. When the signed page comes back, file it and tick *Security plan signed*.

W-9 lands, tick the last box

— the card turns green and says **Cleared to prepare**. That is the only state in which somebody should be opening a client return.

ONE MORE THING, FOR WHOEVER MAINTAINS THE SITE

If anyone ever asks for an upload button on that page — including you, in February, at eleven at night, because it would be quicker — the answer is not a new field. It is a conversation about multi-factor authentication, encryption at rest, vendor oversight and the security plan that would have to cover it.

Usually the better answer is the one already here: let the people who do that for a living hold the document, and keep the tick.

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Practice guidance, not legal advice. The two rules described here — the FTC Safeguards Rule and Michigan's Social Security Number Privacy Act — are summarised for working purposes. Before changing how you collect anything sensitive, confirm the current text with the FTC and with your own counsel.